

Press Release



Summary IFRS results 1Q 2023

May 18, 2023. Moscow. Sberbank (hereafter – “the Group” or “Sber” published Special Purpose Interim Condensed Consolidated Financial Statements (hereafter “the Financial Statements”) for 1Q 2023 and as of March 31, 2023.

Sber net profit for 1Q 2023 reached RUB357.2 bn in accordance with International Financial Reporting Standards (IFRS)

Herman Gref, Chairman of the Executive Board, CEO, stated:

“Dynamic development of Sber Group’s business in 1Q 2023 allowed our shareholders to earn a record profit for this period in the amount of RUB357.2 bn.

Total loan portfolio rose by 4.5% since the beginning of the year thanks to retail segment and the expansion of lending to SMEs. We issued more than RUB1.5 trn of retail loans thanks to a wide range of our own and government programs. We increased our mortgage portfolio by 4.7%, and so did the volume of customer funding.

The client activity in digital channels is growing: more than 41 million people use SberBank Online every day, and the number of monthly active users exceeds 79 million.

Our updated Kandinsky 2.1 diffusion model is among international leaders in image generation. Furthermore, we presented our new development to the market for testing - the GigaChat multimodal neural network, which can keep a dialogue, write program codes, create texts and images based on descriptions within a single context.

A rational approach to cost management ensures the development of innovations and new technologies and, at the same time, allows to improve cost-to-income ratio to 24.8% for 1Q 2023.

Strong quarterly performance, stable loan portfolio quality and high operating efficiency provide grounds for raising our 2023 ROE guidance to 22%”.

Key financial results for 3M 2023

3M 2023

RUB357.2 bn	RUB16.78	25.0 %	14.5 %
Group net profit ¹	EPS ¹	ROE	Capital adequacy ratio for the Group N20.0

- Group net profit¹ reached RUB357.2 bn. Earnings per ordinary share¹ was RUB16.78.
- Sber increased total equity by 5.8% in 3M 2023 to RUB6.1 trn.
- Capital adequacy ratio for the Group (N20.0) amounted to 14.5%.
- Results were achieved without applying the Central Bank's forbearance measures that were available to Russian financial institutions (predetermined foreign exchange rate, revaluation price of securities, customized provisioning for loans to certain companies).
- In 1Q 2023, Sber was once again recognized as the strongest financial brand in the world and the most expensive brand in Russia, and also entered the top 200 most valuable brands in the world in 2022².

Key Client Activity Metrics

mn, unless stated otherwise	31.03.2023	31.12.2022	31.03.2023 / 31.12.2022, change, %
Number of active retail clients ³	106.3	106.4	-0.1
MAU – SberBank Online app (app+web)	79.3	78.6	0.7
DAU – SberBank Online app (app+web)	41.2	40.9	0.3
Number of active corporate clients	>3.0	>3.0	-

- Number of active retail clients reached 106.3 mn at the end of 1Q 2023, and increased to 106.5 mn by the end of April; the number of corporate clients exceeded 3 mn companies.
- Number of active monthly users (MAU) of SberBank Online app (app+web) exceeded 79.3 mn. Number of daily users (DAU) came at 41.2 mn, with DAU/MAU ratio over 52%.
 - In January 2023, SberBank Online app was recognized as the most convenient app for credit card holders in 2022⁴.
- Number of active monthly users (MAU) of SberBusiness Online (app+web) amounted to 2.8 mn (+0.09 mn ytd), and the web version of the app topped the rating of the best Russian Internet banks for small and medium enterprises⁵.
- Number of SberSpasibo loyalty program users increased by 2.4 mn since the beginning of the year to over 68.6 mn.
- Number of Sber ID users, a unified login that gives access to more than 160 services of Sber and partners, exceeded 60 mn.
- Number of SberPrime subscribers exceeded 6.2 mn by the end of April 2023 (+0.4 mn since the beginning of the year).

Group Income Statement Highlights

RUB bn, unless stated otherwise

1Q 2023

Net interest income	562.8
Net fee and commission income	171.1
Net charge related to change in asset quality ⁶	-84.2
Staff and administrative expenses	-181.9
Net profit	357.2
Earnings per ordinary share, RUB	16.78

Key financial ratios

Return on equity ⁷	25.0%
Return on assets ⁸	3.4%
Net interest margin	5.78%
Cost of risk (amortized cost and FV loans)	1.1%
Cost-to-income ratio	24.8%

Net interest income increased y/y to RUB562.8 bn thanks to expanding volume of working assets and improving yields of the banking business.

- In 1Q 2023, NIM expanded y/y to 5.78% thanks to the normalization of the cost of funding and the reduction in share of foreign currency denominated components of the balance sheet.

Net fee and commission income was down y/y to RUB171.1 bn in 1Q 2023 on the back of high last year's base, which was caused by increased transactional client activity and growth in the volume of conversion operations.

- Net income from bank cards and from settlement and cash transactions strongly increased y/y in 1Q 2023, while income from conversion operations significantly decreased y/y.

- Total volume of transfers, payments and acquiring expanded by 17% y/y in 1Q 2023.

Operating expenses increased y/y to RUB181.9 bn in 1Q 2023. Operating expenses show a recovering pattern on the back of last year's large scale anti-crisis cost optimization program.

- **Cost-to-income ratio** was 24.8% in 1Q 2023, reflecting Sber's high operating efficiency.

Net provision charge against credit quality deterioration, including revaluation of loans at fair value, reached RUB84.2 bn. Cost of risk amounted to 1.1%.

Group Balance Sheet Highlights

RUB bn, unless stated otherwise	31.03.2023	31.12.2022	31.03.2023 / 31.12.2022 change, %
Gross loans⁹:	32 441	31 038	4.5%
Corporate loan portfolio	19 461	18 608	4.6%
Retail loan portfolio	12 980	12 430	4.4%
Client funding:	30 109	29 876	0.8%
Retail deposits	18 546	18 499	0.3%
Corporate deposits	11 563	11 377	1.6%
Net loan-to-deposit ratio	102.0%	98.3%	3.7 pp

Retail loan portfolio increased by 4.4% ytd to RUB13.0 trn, growing across all segments. Yield on retail loans remained at 11.7%.

- The share of retail product sales through digital channels increased to 65% at the end of the quarter.
- Sber produced more than RUB1.5 trn of mortgages and consumer unsecured loans, and the number of credit cards issued doubled in the quarter.

Mortgage loan portfolio rose by 4.7% ytd to RUB7.9 trn thanks to a wide range of own and government subsidy programs.

- Market share increased by 0.5 pp q/q to 54.3%.
- In 1Q 2023, 78.6 thousand loans with value of RUB324.6 bn were issued under the Family Mortgage, State Support, Far East Mortgage and Mortgage for IT programs.

▪ **Consumer unsecured loan portfolio** increased by 2.6% ytd to RUB3.6 trn.

- Market share increased by 0.6 pp q/q to over 38%.
- Increased demand for Sber's consumer lending products was driven by favorable product terms and ease of use of Sber's digital channels. Now more than 90% of consumer loans are issued through SberBank Online.

One of the drivers of retail lending growth was **credit cards**, the portfolio of which added 6.7% from the beginning of the year.

- Sber's credit card market share up 1.0 pp q/q to over 47%.
- In January 2023, SberCard received the Frank Credit Cards Award 2022 in the "Best Credit Card for Mass Customers" nomination.

Corporate loan portfolio rose by 4.6% ytd (+3.0% excluding adjustment for the impact of FX revaluation¹⁰) to RUB19.5 trn. The yield on corporate loans decreased in 1Q 2023 by 0.1 pp q/q to 8.3%.

- Sber's corporate lending market share exceeded 32%.
- In 1Q 2023 Sber issued over RUB3.6 trn in corporate loans, while maintaining stable asset quality.
- Within the framework of the Constructor of State Programs, Sber executed 5 times more transactions than in 1Q 2022 for a total amount of RUB16.5 bn. Now 28 programs are available to clients (+6 programs in 1Q 2023).
- Residential real-estate construction loan portfolio was up by over 5% ytd to RUB3.2 trn.
- About 80% of loans to small and micro businesses are issued online, so as decisions on short-term lending to large and medium-sized businesses.
- SME loan portfolio reached RUB4.7 trn, growing by 6% ytd¹³.

Retail funding was RUB18.5 trn, up by 0.3% since the beginning of the year (-0.7% excluding adjustment for the impact of FX revaluation¹⁰). The funding cost of retail deposits increased by 0.2 pp q/q to 3.4%.

- In 1Q 2023 Sber offered clients new interesting terms on deposits:
 - A special deposit has been launched with an increased rate of up to 9.5% for clients who sold real estate as part of a mortgage deal on Domclick.
 - The "Best percent" deposit has been relaunched with a maximum rate of 9.5% p/a. New payroll clients now can open a promotional deposit "Good Start".

Corporate funding rose by 1.6% ytd (-3.5% excluding adjustment for the impact of FX revaluation¹⁰) to RUB11.6 trn. The funding cost of corporate term deposits decreased by 0.8 pp q/q to 3.9%.

Net LDR ratio changed to 102.0% at quarter-end, adding 3.7 pp during the quarter.

Key Asset Quality Metrics

	31.03.2023	31.12.2022	31.03.2023 / 31.12.2022, change, pp
Stage 3 + POCI loans / total gross loans at amortized cost	3.8%	3.9%	-0.1 pp
Provision coverage of Stage 3 + POCI loans	144.7%	142.5%	2.2 pp

The share of Stage 3 and POCI loans in loans at amortized cost was 3.8%, down by 10 bp for 3M 2023.

Total provision coverage of impaired loans was up by 2.2 pp q/q to 144.7% for 3M 2023.

Selected Group Capital Adequacy Results

RUB bn, unless stated otherwise	31.03.2023	31.12.2022	31.03.2023 / 31.12.2022 change, %
Common equity Tier 1 capital	5 676.2	5 338.1	6.3%
Tier 1 capital	5 826.2	5 488.1	6.2%
Total capital	6 030.5	5 684.6	6.1%
Risk-weighted assets	37 675.5	36 436.8	3.4%
Common equity Tier 1 capital adequacy ratio	15.1%	14.7%	0.4 pp
Tier 1 capital adequacy ratio	15.5%	15.1%	0.4 pp
Total capital adequacy ratio	16.0%	15.6%	0.4 pp
Capital adequacy ratio for the Group N20.0	14.5%	14.2%	0.3 pp
Book value per share⁴¹, RUB	270.7	255.8	5.9 %

Common equity Tier 1 capital grew by 6.3% since the beginning of the year to RUB5.7 trn. Total capital rose by 6.1% q/q to RUB6.0 trn.

The Group risk-weighted assets were up by 3.4% for the quarter to RUB37.7 trn. **Risk-weighted assets density** came down to 82.8%.

During the quarter, **common equity Tier 1 capital adequacy ratio and Tier 1 capital adequacy ratio** rose by 0.4 pp to 15.1% and 15.5% respectively, while total capital adequacy ratio increased by 0.4 pp to 16.0%.

Capital adequacy ratio for the Group N20.0 increased by 0.3 pp since the beginning of the year to 14.5%.

Technological Leadership

Sber successfully continues its technological transformation. Sber's developments function on in-house operating system, which ensures independence from foreign vendors and maximizes information security.

- Sber launched an updated diffusion model for generating images from text, **Kandinsky 2.1**, which is capable of creating, mixing and supplementing images according to a text description and more in a few seconds. It has become the fastest growing service in the world with over 5 million unique users to date. Additionally, the model is trained on 170 million text-image pairs and uses 3.3 billion parameters.
- In April, Sber released its own version of multimodal neural network, **GigaChat**, which became available to users in testing edition. The network knows how to answer user questions, maintain a dialogue, write program codes. When integrated with Kandinsky 2.1 model it gives the neural network the skill of creating images.
- The **Jazz** video conferencing service, which has recently become available to external users, gives users with the opportunity to conduct interactive webinars for 2000 participants and 100 speakers.
- The language model from Sberbank **FRED-T5** (Full-scale Russian Enhanced Denoisers T5) has become the best in the world in recognizing Russian-language text¹², in accuracy second only to humans.
- Also in April, Sber expanded its **line of Sber smart TVs** based on its own Salyut TV operating system with Salyut virtual assistant by releasing 21 new models.
- **Sber's processing platform** is included in the Russian Software Register, which will make it available to external users in the future. The platform utilizes Horizontal Scaling Technology, which increased data processing performance by 1.5 times, reduced the impact of incidents on processes and allowed flexible scaling without modifications to adjacent systems.
- The number of technological implementations and changes increased by 16% in the quarter, reaching 420 thousand. At the same time, the number of incidents decreased by 20% over the same period.

ESG

Reducing the carbon footprint is one of the key tasks within Sber's ESG agenda, the main goal of which is to achieve the bank's carbon neutrality by 2030 in Scope 1 and 2.

- The energy management system that has been implemented in all Sber offices, according to preliminary estimates, will reduce electricity consumption by 10-15% per year, which is equivalent to a reduction in annual CO₂ emissions of about 70 thousand tons within Scope 2, and not only optimize costs, but also reduce the negative impact on the environment.
- Sber has passed voluntary certification in the field of energy management and energy efficiency and received a GOST compliance certificate.
- At the end of 1Q 2023, Sber's sustainable financing portfolio (green, adaptation and ESG loans) grew to RUB1.4 trn.

Conference call details

Main Russian line

Topic: IFRS 1Q23

To connect to the conference using link below:
<https://jazz.sber.ru/2l4aog?type=webinar&role=VIEWER&psw=OEAWVAMHBxVeUBFCXBMBQlFaDA>

Conference code: [2l4aog@jazz.sber.ru](https://jazz.sber.ru/2l4aog)

Password: 3t1qcbc7

English (listen-only)

Topic: IFRS 1Q2023 listen-only

To connect to the conference using link below:
<https://jazz.sber.ru/l2z9sk?psw=OBkPHxkTVEMfCQgJRgdDUBADFQ>

Conference code: l2z9sk

Password: jmzkw15v

¹ Includes discontinued operations. Basic earnings per share is calculated by dividing the profit (loss) attributable to shareholders holding ordinary shares of the Bank, and from profit or loss from continuing operations, by the weighted average number of ordinary shares outstanding during the period, less treasury shares repurchased from shareholders.

² Brand Finance research

³ In the 1Q 2023, the methodology for recognizing active retail customers was refined, the data was restated retrospectively

⁴ Frank RG research

⁵ iXBT.pro research

⁶ Includes net expenses from credit loss allowance charge and revaluation of loans at Fair Value due to changes in credit quality

⁷ Excluding the subordinated loan agreement in the amount of RUB150.0bn classified as equity financial instrument that was previously ceded by the Bank of Russia in favor of the Ministry of Finance

⁸ Based on profit from continuing operations

⁹ Before loan loss allowance and including loans at amortized cost and at fair value

¹⁰ Based on management accounts

¹¹ Total equity attributable to shareholders of the Bank / Total numbers of shares outstanding (ordinary + preferred)

¹² Based on Russian SuperGLUE tests

¹³ According to the list of the SME companies included in the register of the Federal Tax Service as of 03/31/23

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